

Demand Theory

Concept, Law, Types & Determinants

Concept of Demand

If you demand something, then you

1. Want it,
2. Can afford it, and
3. Have made a definite plan to buy it.

Demand = Desire + Ability to Pay + Willingness to Pay

Simple desire/want is not demand.

The **quantity demanded** of a good or service is the amount that consumers plan to buy during a particular time period, and at a particular price.

example

- A student wants a laptop/MacBook Pro. If he cannot afford it, it is not demand. If he has money and willingness to buy, it becomes demand.

Demand

refers to the quantity of a good or service that a consumer is willing and able to purchase at various prices over a given period of time.

Example

student wants to buy a high-performance laptop for programming and project work.

If the price of the laptop drops from ₹70,000 to ₹60,000, more students may be willing and able to buy it. This increase in quantity bought due to a fall in price represents demand.

Law of Demand

Ceteris paribus: When price falls, demand rises; when price rises, demand falls. Inverse relationship between price & demand.

Example:

Price of data packs decreases → students consume more data.

Price of laptops increases → students delay purchase.

Types of Demand

Individual Demand – Demand of one student for a laptop

Market Demand – Demand of all students for laptops

Joint Demand – Laptop & Charger, Smartphone & Data Pack. Two or more goods demanded together to fulfill a single need.

Composite Demand – Electricity used in labs, hostels, classrooms. is the demand for a single commodity that has multiple uses

Direct Demand – Fast food, headphones, gaming apps. The purchased good or service is used by the consumer directly, not to produce something else.

Cross Demand – Android vs iPhone (substitutes); Printer & Ink (complements)

Derived Demand – a demand for a commodity, service, etc. which is a consequence of the demand for something else.

Examples of Derived demand

- **Demand for Mobile Applications:**

When consumers demand more mobile apps for entertainment, communication, or productivity, there is a derived demand for BCA graduates to work as app developers.

Demand for E-commerce Platforms:

An increase in online shopping creates a higher demand for websites and e-commerce platforms, which in turn drives the need for BCA graduates who can build and manage these digital marketplaces.

Determinants/Factors of Demand

Price of the Good : Lower price = higher demand. Lower cost of software license (like Adobe Creative Cloud) may increase student subscriptions. Pen drives cheaper → higher demand

Income : Higher income = higher demand . Students receiving scholarships may spend more on tech gadgets or online courses. Higher income → premium laptops

Prices of Related Goods :

Substitutes and complements affect demand. If Microsoft Azure becomes cheaper than AWS, students may shift to using Azure. Zoom vs Google Meet

Future Expectations

: Future price expectations affect current demand If students expect laptop prices to rise during exam season, they may buy earlier. . Students wait for festival discounts

Expected future income and credit :

When expected future income increases or when credit is easy to obtain, the demand might increase now.

Population – More buyers = more demand. Increase in BCA students enrollment boosts demand for textbooks, laptops, and lab equipment.

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Tastes & Preferences :

Supply

If a firm supplies a good or service, then the firm

- Has the resources and the technology to produce it,
- Can profit from producing it, and
- Has made a definite plan to produce and sell it.

Law of Supply

- The **law of supply** states:
- Other things remaining the same, the higher the price of a good, the greater is the quantity supplied; and
- the lower the price of a good, the smaller is the quantity supplied.
- The **quantity supplied** of a good or service is the amount that producers plan to sell during a given time period at a particular price.

The six main factors that change supply of a good are

- The prices of factors of production
- The prices of related goods produced
- Expected future prices
- The number of suppliers
- Technology
- State of nature

Market Equilibrium

- Equilibrium is a situation in which opposing forces balance each other. Equilibrium in a market occurs when the price balances the plans of buyers and sellers.
- The equilibrium price is the price at which the quantity demanded equals the quantity supplied.
- The equilibrium quantity is the quantity bought and sold at the equilibrium price.
- Price regulates buying and selling plans.
- Price adjusts when plans don't match.

- Price Adjustments :
- At any price above the equilibrium price, a surplus forces the price down. At any price below the equilibrium price, a shortage forces the price up. At the equilibrium price, buyers' plans and sellers' plans agree and the price doesn't change until some event changes either demand or supply.